

Smt. Ranjana Gupta v. Executive Engineer (Distribution), Asst. General Manager & Anr.

Allahabad High Court · Single Judge · 24 April 2019 · Writ - C No. 14225 of 2004 · **Writ allowed; 12.12.2003 appellate order and 22.09.2003 bill/demand quashed; dual s.126 hearing directed**

HEADNOTE

A theft bill and Section 3 recovery notice issued without show-cause, provisional assessment or final assessment violate Section 126(3) of the Electricity Act, 2003 and must be quashed. Following *Ashok Kumar v. State of U.P.*, 2008 (6) ADJ 660 (DB), the assessing officer must give a dual opportunity: first on whether unauthorised use occurred, and, if not satisfied with the reply, a provisional assessment with a further opportunity of objection before a final assessment. An Appellate Committee order that disposes of the appeal solely on a counsel's concession of theft — recorded only in the operative portion, not in the body, and disputed as unauthorised — is not an independent adjudication under Section 127; following *Himalayan Coop. Group Housing Society v. Balwan Singh* (2015) 7 SCC 373, such a concession against the client's interest does not bind the consumer. The 12 December 2003 appellate order and the 22 September 2003 bill and demand are quashed; the two-stage procedure is to be completed within two months of production of a certified copy.

FACTUAL SUMMARY

Smt. Ranjana Gupta was sanctioned a 51 H.P. connection by KESCO. On 6 September 2003 a checking team alleged theft of electricity. Without a provisional assessment or hearing under Section 126 of the Electricity Act, 2003, the Assistant General Manager demanded Rs. 7,48,560 and, on 22 September 2003, issued a bill and a recovery notice under Section 3 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958. She appealed to KESCO's Appellate Committee under Clause 7.20 of the U.P. Electricity Supply Code, 2002 and Section 127, no appellate authority under Section 127 then having been constituted. In Writ Petition No. 45506 of 2003 the High Court, on 10 November 2003, stayed recovery and directed restoration if she paid consumption dues and 50% of the penalty; she deposited Rs. 2,49,502 towards the theft assessment and Rs. 1,48,233 towards consumption. By order dated 12 December 2003 the Appellate Committee did not decide the checking report or the legality of the assessment; it disposed of the appeal on a recital that her counsel had admitted theft and was ready to pay. She challenged that order and the 22 September 2003 bill in this 2004 writ, which was dismissed as infructuous in 2014, restored, and allowed on 24 April 2019.

HOLDING-UNITS

HOLDING-UNIT · EA2003::126(3)

Theft bill and s.3 demand without show-cause, provisional or final assessment

QUESTION

Can a theft bill and a Section 3 recovery notice stand where no show-cause notice, provisional assessment or final assessment under Section 126 was issued?

HOLDING

No. The 22 September 2003 bill and demand directing deposit of Rs. 7,48,560 were issued without any show-cause on the theft allegation and without a provisional or final assessment, in violation of Section 126(3). They are quashed. ¶ [unnumbered order](#)

FLAG Source PDF concatenates listing, restoration (14.5.2014), amendment (9.7.2018) and other interlocutory orders from 26.3.2014 to 17.4.2019; the operative judgment is 24.4.2019 (Siddharth, J.). The 2003 events predate the 2005 Code; the petitioner had appealed under Clause 7.20 of the 2002 Code. The Court applied s.126(3) of the 2003 Act, not a numbered 2002 or 2005 Code clause.

HOLDING-UNIT · EA2003::126

Two-stage hearing — UUE conclusion, then provisional assessment and quantum

QUESTION

After a theft demand issued without Section 126 procedure is quashed, how must the assessing officer proceed?

HOLDING

The assessing officer must give a dual opportunity: first against unauthorised use of electricity; and, if not satisfied with the reply to that notice, a second opportunity by issuing a provisional assessment, with a further opportunity of objection, and then a final assessment, as explained in *Ashok Kumar* (paras 58-60) — a hearing before concluding unauthorised use (guilt) and a separate hearing on quantum. That procedure is to be completed within two months of production of a certified copy of this order. ¶ [unnumbered order](#)

QUALIFIER

Whether theft or unauthorised use occurred, and the quantum of Rs. 7,48,560, were not decided.

FLAG *Ashok Kumar's* two-stage ratio (quoted from paras 58-60) is applied as s.126 procedure. The Court did not key the remand to Clause 6.8 or 8.1 of the 2005 Code, nor to Clause 6.17.2 of the 2002 Code (which the Appellate Committee had mentioned).

HOLDING-UNIT · EA2003::127

Appellate Committee cannot decide a s.127 appeal on an unauthorised counsel concession of theft

QUESTION

Does an Appellate Committee order that records, only in its operative portion, a counsel's concession of theft, without deciding the checking report or the legality of the assessment, bind the consumer?

HOLDING

No. The 12 December 2003 order neither adjudicated the merits nor recorded any finding on the checking report or the assessment. The alleged concession does not appear in the body of the order; only the operative portion recites it. The petitioner disputes having authorised any such admission. Following *Himalayan Coop. Group Housing Society*, a doubtful or unauthorised concession, and a concession on a matter of law or one that surrenders substantial rights against the client's interest, does not bind the client; the Committee should have been cautious before accepting it. The appellate order is quashed. ¶ [unnumbered order](#)

PRINCIPLE TAGS

s126-procedural-strictness-notice-and-hearing A theft bill and s.3 recovery notice issued without show-cause, provisional assessment or final assessment violate s.126(3) and are quashed. Lead authorities: *Ashok Kumar v. State of U.P.*.. ¶ [unnumbered order](#)

s126-two-stage-hearing-uue-conclusion-then-quantum *Ashok Kumar* paras 58-60 applied: dual opportunity — first on unauthorised use, then provisional assessment and objection before final assessment — directed to be completed within two months. Lead authorities: *Ashok Kumar v. State of U.P.*.. ¶ [unnumbered order](#)

s127-appellate-authority-must-exercise-independent-judgment An Appellate Committee that does not decide the checking report or the assessment, and rests the appeal on a counsel's concession of theft recorded only in the operative portion and disputed as unauthorised, has not independently adjudicated; the order is quashed. Lead authorities: *Himalayan Coop. Group Housing Society v. Balwan Singh*. ¶ [unnumbered order](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THEFT OR UNAUTHORISED USE OCCURRED, AND THE CORRECTNESS OR QUANTUM OF THE RS. 7,48,560 DEMAND

Left to a fresh two-stage assessment after notice and hearing as directed. ¶ [unnumbered order](#)

NOT DECIDED — WHETHER COUNSEL IN FACT CONCEDED THEFT BEFORE THE APPELLATE COMMITTEE, OR WAS AUTHORISED TO DO SO

The petitioner disputed any such instruction. The Court held that the concession was not recorded in the body of the appellate order and, even if made, did not bind the client. ¶ [unnumbered order](#)

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Himalayan Coop. Group Housing Society v. Balwan Singh</i> (2015) 7 SCC 373 Supreme Court	A counsel's admission binds only if unequivocal and authorised; the client is not bound by an unauthorised concession, nor by statements on matters of law or legal conclusions; the court should ascertain authority before accepting a concession that surrenders substantial rights.	Followed. The petitioner relied on para 32; the Court also applied para 21, holding that the Appellate Committee should have been cautious in accepting a concession against the client's interest, recorded only in the operative portion. ¶ unnumbered order	Court	Followed
<i>Ashok Kumar v. State of U.P.</i> 2008 (6) ADJ 660 (DB) Allahabad High Court (DB)	Before a provisional assessment under s.126 the assessing officer must disclose the alleged manner of unauthorised use and hear the consumer, then record the UUE conclusion; a separate opportunity is required before final assessment on quantum. Unauthorised use overlapping s.135 cannot be found on the officer's vagaries without a hearing.	Followed. Paras 58-60 quoted in full; the assessing officer was directed to complete that two-stage procedure within two months. ¶ unnumbered order	Court	Followed

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.